Module -3 :: Business Organizations and Markets

Introduction

Imagine you want to do business or start your own industry. Which business are you interested in? For example, you want to get into infotech industry. What can you do in this industry? Which one do you choose?

The following are the alternatives you have on hand:

- You can buy and sell
- You can set up a small/medium/large industry to manufacture
- You can set up a workshop to repair
- you can develop software
- you can design hardware
- you can be a consultant/trouble-shooter

If you choose any one or more of the above, you have chosen the line of activity. The next step for you is to decide whether

- you want to be the only owner (It means you want to be sole trader) or
- you want to take some more professionals as co-owners along with you (It means you want to form partnership with others as partners) or
- you want to be a global player by mobilising large resources across the country/world
- you want to bring all like-minded people to share the benefits of the common enterprise (you want to promote a joint stock company) or
- you want to involve government in the IT business (here you want to suggest government to promote a public enterprise!)

To decide this, it is necessary to know how to evaluate each of these alternatives. This chapter helps you to take a right decision. This chapter deals with the features, advantages and disadvantages of different forms of business organisation based on ownership and suggests where each form fits in.

Factors affecting the choice of form of industrial/business organisation

Before we choose a particular form of industrial/business organisation, let us study what factors affect such a choice? The following are the factors affecting the choice of a business organisation:

1. **Easy to start and easy to close** The form of business organisation should be such that it should be easy to start and easy to close. There should not be hassles or long procedures in the process of setting up business or closing the same.
2**. Division of labour** There should be possibility to divide the work among the available owners. The idea is to pool the expertise of all the people in business and run the business most efficiently.
3. **Large amount of resources** Large volume of business requires large volume of resources. Some forms of business organisations do not permit to raise larger resources. Select the one which permits to mobilise the large resources.
4. **Liability** The liability of the owners should be limited to the extent of money invested in business. It is better if their personal properties are not brought into business to make up the losses of the business.
5. **Secrecy** The form of business organisation you select should be such that it should permit to take care of the business secrets. We know that century old business units are still surviving only because they could successfully guard their business secrets.
6. **Transfer of ownership** There should be simple procedures to transfer the ownership to the next legal heir.
7. **Ownership, management and control** If ownership, management and control are in the hands of one or a small group of persons, communication will be effective and coordination will be easier. Where ownership, management and control are widely distributed, it calls for a high degree of professional skills to monitor the performance of the business.

8. **Continuity** The business should continue forever and ever irrespective of the uncertainties in future.
9. **Quick decision making** Select such a form of business organisation which permits you to take decisions quickly and promptly. Delay in decisions may invalidate the relevance of the decisions.
10. **Personal contact with customers** Most of the times, customers give us clues to improve business. So choose such a form which keeps you close to the customers.
11. **Flexibility** In times of rough weather, there should be enough flexibility to shift from one business to the other. The lesser the funds committed in a particular business, the better it is.
12. **Taxation** More profit means more tax. Choose such a form which permits to pay low tax.

These are the parameters against which we can evaluate each of the available forms of business organisations.

Forms of Business Organizations

The following are the forms of business organisation* based on ownership:
(a) Sole trader or proprietorship
(b) Partnership
(c) Joint stock company
(d) Cooperative society

Where the government takes part in business, public enterprise is set up.

Now let us see the features, advantages and disadvantages of each of the form of business organisations. We will also see under what conditions, each form fits in suitably.

Sole Proprietary

A **Sole Proprietorship** is a type of business model where a single individual owns and operates the business. This model is one of the simplest and most common forms of business organization, especially for small businesses.

Features of a Sole Proprietary Model:

1. **Single Ownership:**
   - The business is owned by a single person, who has full control over all decisions.
2. **Unlimited Liability:**
   - The owner is personally responsible for all the debts and liabilities of the business. If the business faces financial problems, the owner's personal assets could be at risk.
3. **Simple Formation:**
   - Setting up a sole proprietorship is relatively easy and doesn't require complex registration processes or formalities.
4. **Full Control:**
   - The owner has complete control over the day-to-day operations, decision-making, and direction of the business.
5. **No Legal Distinction:**
   - There is no legal separation between the owner and the business. The owner and the business are considered one entity.
6. **Profit Sharing:**
   - All profits generated by the business belong to the owner, and there is no need to share profits with other stakeholders.
7. **Taxation:**
   - The business itself is not taxed separately; the owner reports the business income on their personal tax return. This is known as "pass-through taxation."

Merits of Sole Proprietorship:

1. **Full Control and Decision-Making:**
   - The owner has complete autonomy to make decisions and run the business as they see fit.
2. **Simple Setup and Low Costs:**
   - Starting a sole proprietorship is less expensive and easier than other business models, with fewer legal requirements.
3. **Direct Taxation:**
   - Since the business income is reported on the owner's personal tax return, it avoids the need for corporate taxation. This can be simpler and more tax-efficient in some cases.
4. **Complete Profit Retention:**
   - The owner gets to keep all the profits without having to share them with partners or shareholders.
5. **Flexibility:**
   - The owner can make quick changes in the business operations without needing approval from other stakeholders.

Demerits of Sole Proprietorship:

1. **Unlimited Liability:**
   - One of the biggest disadvantages is that the owner is personally liable for all business debts and obligations. If the business faces financial issues or legal troubles, the owner's personal assets (like their home or savings) could be at risk.
2. **Limited Capital:**
   - The business might face difficulties in raising capital or securing loans, as funding is limited to the personal finances of the owner or credit options available to them.
3. **Limited Expertise and Skillset:**
   - The owner is responsible for all aspects of the business, which might limit the expertise and skills available to tackle different challenges, especially as the business grows.
4. **Lack of Continuity:**
   - The business is tied to the owner's life and health. If the owner decides to retire, pass away, or leave the business, it may not survive unless specific plans are in place.
5. **Heavy Workload and Responsibility:**
   - Managing all aspects of the business can be overwhelming, especially when the business grows. The sole proprietor might have to work long hours and handle every aspect of business operations, from finance to marketing.

In summary, the **Sole Proprietorship** model is ideal for individuals who prefer full control over their business and want to keep things simple. However, the owner must be aware of the risks, particularly the unlimited liability and the challenges of raising capital.

Suitability

Despite the above disadvantages, the sole trader is a suitable form of organisation where,

- business is of small size and requires low volume of capital
- business can be managed by one person
- risk is low
- personal attention is necessary to take care of the customers
- products/services need to be provided as per the customer specifications

Partnership

A **Partnership** is a business structure where two or more individuals come together to operate a business with the intention of sharing profits and responsibilities. Unlike a sole proprietorship, which is owned by one person, a partnership allows multiple owners to pool resources, expertise, and capital.

Features of a Partnership Model:

1. **Two or More Partners:**
   - A partnership requires at least two individuals or entities to come together. There is no upper limit to the number of partners, but the maximum number often depends on local laws (e.g., in some jurisdictions, partnerships may have a cap, such as 20 partners).
2. **Mutual Agreement:**
   - Partnerships are usually formed based on a partnership agreement, which outlines each partner's rights, responsibilities, and profit-sharing arrangements. This agreement can be written or oral but is strongly recommended to be written for clarity and legal protection.
3. **Joint Ownership:**
   - All partners share ownership of the business. Each partner contributes to the business, either with capital, skills, or other resources, and has a stake in the business's success or failure.
4. **Shared Responsibility:**
   - Partners share the management and operation of the business, making decisions together and contributing to the day-to-day running of the organization.
5. **Profit and Loss Sharing:**
   - The profits and losses of the business are shared according to the terms of the partnership agreement. Typically, profits are divided based on each partner's investment, but this can vary.
6. **Unlimited Liability (General Partnership):**
   - In a **general partnership**, all partners share equal responsibility for the debts and liabilities of the business. Like sole proprietorships, this means partners' personal assets could be at risk if the business fails.
7. **Legal Entity:**
   - A partnership does not have a separate legal entity (unless it's registered as a limited liability partnership, or LLP). The business is treated as a joint venture between the partners.

Merits of a Partnership:

1. **Shared Responsibility:**
   - Partners share the burden of decision-making and the management of the business, which can make running the business more manageable compared to a sole proprietorship.
2. **Greater Capital Pool:**
   - Since multiple partners are involved, there is a larger pool of capital available for investment. This can help the business grow and expand more easily.
3. **Diverse Skillsets and Expertise:**
   - Different partners bring varied skills, knowledge, and experience, which can complement each other and contribute to the business's success.
4. **Flexible Structure:**
   - Partnerships offer flexibility in terms of how profits are distributed and how decisions are made. This can be customized in the partnership agreement to meet the needs and preferences of the partners.
5. **Tax Benefits:**
   - A partnership enjoys "pass-through" taxation, meaning the business itself does not pay taxes. Instead, profits and losses pass through to the individual partners, who report them on their personal tax returns. This avoids the double taxation issue that corporations face.
6. **Easier Access to Financing:**

- With more than one person involved, a partnership may find it easier to secure loans or investors compared to a sole proprietorship, as banks and lenders may view the business as less risky.

Demerits of a Partnership:

1. **Unlimited Liability (General Partnership):**
   - In a general partnership, partners have unlimited liability, meaning they are personally responsible for the debts and obligations of the business. This is a major risk, especially if the business faces financial difficulties or legal challenges.
2. **Potential for Conflicts:**
   - Disagreements and conflicts can arise between partners, particularly when there is a lack of clarity in the partnership agreement or when personal differences affect business decisions. These issues can disrupt the business and affect its growth.
3. **Shared Profits:**
   - Since profits are shared among the partners, individual partners may feel dissatisfied if they contribute more effort or capital than others but do not receive a proportionate share of the earnings.
4. **Joint Liability:**
   - Each partner is responsible for the actions of the other partners. If one partner makes a poor decision or incurs debts, all partners are held accountable.
5. **Limited Life:**
   - A partnership may dissolve if one partner leaves, dies, or chooses to withdraw from the business. This can cause instability, as the business might need to be restructured or even closed.
6. **Management Disagreements:**
   - If partners have different visions or management styles, it can lead to inefficiency and affect the business's operations. Decisions may take longer to make if there is disagreement among the partners.

Types of Partnerships:

1. **General Partnership (GP):**
   - All partners share equal responsibility and liability. They are actively involved in managing the business and are jointly liable for its debts.
2. **Limited Partnership (LP):**
   - In a limited partnership, there are two types of partners: general partners (who manage the business and have unlimited liability) and limited partners (who invest capital but have liability limited to the amount of their investment).
3. **Limited Liability Partnership (LLP):**
   - An LLP offers limited liability protection to all partners, meaning they are not personally responsible for the business's debts or obligations, protecting personal assets.

A partnership model allows for shared responsibilities, diverse skills, and greater capital, making it a good option for individuals looking to combine their resources and expertise. However, the risks of unlimited liability, the potential for conflicts, and shared profits can make partnerships challenging if not carefully managed. The partnership agreement plays a key role in mitigating these challenges by setting clear terms for the partnership's operation.

Suitability

Despite the disadvantages, the partnership form of business organisation is popular where the business

- requires moderate volume of funds, as much as partners can bring
- requires more persons of different skills which can be used for the common advantage of all
- partners.

Today, there are a number of partnership firms successfully carrying on their business for over decades. The secret of their success is the cohesive group of partners. Without such a group, partnership cannot survive for long.

Differences between sole proprietary and partnership

Following are the differences between sole proprietary and partnership,

Aspect	Sole Proprietorship	Partnership
Number of Owners	Owned by one individual.	Owned by two or more individuals.
Formation	Simple to form with minimal legal requirements.	Requires an agreement between partners, often formalized.
Ownership Control	Full control rests with the sole proprietor.	Control is shared among partners, based on the agreement.
Liability	Unlimited liability—owner is personally liable for business debts.	Unlimited liability for general partners; limited liability for limited partners (in case of LLP).
Profit Sharing	The owner retains all profits.	Profits are shared among partners according to the agreement.
Management	Managed solely by the proprietor.	Managed jointly by all partners, according to the agreement.
Taxation	Business income is reported on the owner's personal tax return (pass-through taxation).	Business income is passed through to partners and taxed on their personal returns.
Capital Raising	Limited to the proprietor's own resources.	Easier to raise capital as funds can come from all partners.
Life of the Business	The business typically ceases if the owner retires, dies, or withdraws.	The partnership may dissolve if a partner leaves or dies (unless otherwise agreed).
Risk of Conflict	No risk of internal conflicts, as the owner makes all decisions.	Potential for conflicts among partners, especially if roles or profit-sharing are unclear.

This table highlights key differences between the two business models, emphasizing control, liability, profit-sharing, and the ease of raising capital.

Joint Stock Companies

A **Joint Stock Company** is a type of business organization where the ownership is divided into shares of stock, and these shares are held by individual shareholders. The company is considered a separate legal entity from its owners, and it can raise capital by issuing shares to the public or to private investors. Joint stock companies are one of the most common forms of large-scale businesses and corporations.

Features of a Joint Stock Company:

1. **Separate Legal Entity:**
   - A joint stock company is a separate legal entity from its shareholders. It can own property, enter into contracts, and incur liabilities in its own name, independent of the shareholders.
2. **Limited Liability:**
   - Shareholders have limited liability, meaning they are only liable for the company's debts up to the value of their shares. Their personal assets are protected.
3. **Transferability of Shares:**

- Shares in a joint stock company are freely transferable. Shareholders can sell their shares to others, facilitating liquidity and easy transfer of ownership.

4. **Perpetual Succession:**
   - The company continues to exist even if the shareholders change or pass away. The death or departure of shareholders does not affect the company's existence.
5. **Common Ownership:**
   - The ownership of the company is divided into shares, and the shareholders are the owners. The more shares a person holds, the greater their control and stake in the company.
6. **Centralized Management:**
   - The company is managed by a board of directors elected by the shareholders. The day-to-day operations are typically handled by the company's executives, under the guidance of the board.
7. **Legal and Regulatory Compliance:**
   - Joint stock companies are subject to various laws, regulations, and oversight by government bodies to ensure transparency, fairness, and accountability.
8. **Capital Raising:**
   - A joint stock company can raise capital by issuing shares to the public (in the case of publicly traded companies) or to private investors (in the case of privately held companies).

Merits of a Joint Stock Company:

1. **Limited Liability:**
   - Shareholders are only liable for the company's debts up to the amount of their investment (the value of their shares), which protects their personal assets.
2. **Large Capital Base:**
   - Joint stock companies can raise large amounts of capital by issuing shares to a wide number of investors, which is often difficult for smaller business structures.
3. **Perpetual Existence:**
   - The company's existence is not affected by the death, bankruptcy, or departure of any shareholder. This ensures business continuity.
4. **Transferability of Ownership:**
   - The ease with which shares can be bought and sold makes it convenient for investors to enter and exit the company without disrupting its operations.
5. **Professional Management:**
   - The company is managed by experienced professionals, typically the board of directors, and specialized managers. This often leads to more efficient and effective business operations.
6. **Easier Access to Financing:**
   - Joint stock companies can raise funds from the capital markets by issuing shares or bonds, making it easier to finance expansion, research, and development.
7. **Wider Pool of Investors:**
   - Since shares can be issued to a large number of investors, the company can tap into a broad pool of financial resources.

Demerits of a Joint Stock Company:

1. **Complex and Expensive Formation:**
   - Establishing a joint stock company involves a complex process of registration, legal formalities, and compliance with government regulations. This can incur high setup costs.
2. **Double Taxation (for Public Companies):**
   - Publicly traded joint stock companies are often subject to double taxation: the company pays taxes on its profits, and shareholders pay taxes on the dividends they receive.
3. **Lack of Control for Shareholders:**
   - Shareholders, especially minor ones, have little control over the company's day-to-day operations. They elect a board of directors to manage the company, but their influence is limited to voting at annual general meetings.
4. **Regulatory Scrutiny and Legal Obligations:**

- Joint stock companies face strict regulatory scrutiny, especially publicly traded ones. They must adhere to various compliance requirements, disclose financial information, and face audits, which can be costly and time-consuming.

5. **Management-Shareholder Conflict:**
   - There can be conflicts between the shareholders and the management, especially if the management is not focused on maximizing shareholder value. Shareholders may have different goals than the company's management team.
6. **Dilution of Ownership:**
   - When new shares are issued, existing shareholders may find their ownership stake diluted, which could reduce their influence in decision-making and control over the company.
7. **Decision-Making Can Be Slow:**
   - Due to the size of the company and the involvement of multiple stakeholders (e.g., shareholders, board members, and management), decision-making can be more bureaucratic and slower compared to smaller, more agile organizations.

Types of Joint Stock Companies:

1. **Private Limited Company (Ltd):**
   - The company's shares are not available to the public, and ownership is limited to a small number of shareholders. Private companies cannot offer shares to the general public or be listed on a stock exchange.
2. **Public Limited Company (PLC):**
   - The company's shares can be bought and sold by the public and are usually listed on a stock exchange. Public companies can raise capital by issuing shares to the public and are subject to more stringent regulatory requirements.

A Joint Stock Company is a powerful and flexible business model for large-scale businesses, offering limited liability and the ability to raise substantial capital. However, it comes with challenges like complex formation, regulatory scrutiny, and the potential for conflicts between shareholders and management. Despite these challenges, the ability to raise large amounts of capital and the company's continuous existence make it an attractive option for growing businesses and entrepreneurs looking to expand.

Suitability

The joint stock company has become indispensable for every business activity, particularly if it is to be carried out on a large scale. It is more suitable where

- there is a need for a high degree of specialisation
- there is need for large funds
- there is a need for growth and expansion
- there is need for government control or interference

Public Sector Enterprises

Public Sector Enterprises are business organizations owned, operated, and managed by the government or state. These enterprises aim to serve public interests and fulfil social, economic, or developmental objectives rather than focusing solely on profit maximization. Public sector enterprises can exist at the central, state, or local government levels.

Features of Public Sector Enterprises:

1. **Government Ownership:**
   - The government holds a majority or full stake in the enterprise, making it the primary owner. The government exercises control over the enterprise's operations and decisions.
2. **Public Welfare Objectives:**

- Public sector enterprises are often set up with the aim of achieving public welfare objectives such as economic development, employment generation, poverty alleviation, or providing essential services to the population (e.g., electricity, water, transportation).

3. **State Control:**
   - These enterprises are governed by specific regulations and laws laid down by the government. The government may directly intervene in the decision-making process, especially when it comes to major policy decisions.
4. **Financed by Public Funds:**
   - The capital required for running a public sector enterprise is primarily sourced from public funds (taxes, government budgets, and loans).
5. **Non-Profit Motive (to some extent):**
   - The primary goal of public sector enterprises is not to maximize profits but to fulfill social and developmental needs. However, financial sustainability is still important for their operation.
6. **Monopoly or Limited Competition:**
   - Many public sector enterprises operate in industries that are natural monopolies (e.g., public utilities like water, electricity), meaning they face little or no competition.
7. **Accountability to the Government:**
   - Public sector enterprises are accountable to the government and, by extension, to the people. They are subject to scrutiny by government agencies and auditors to ensure transparency and proper use of public resources.
8. **Employment Generation:**
   - These enterprises are significant sources of employment, providing jobs to a large number of people, often with better job security and benefits compared to the private sector.

Merits of Public Sector Enterprises:

1. **Social Welfare and Economic Development:**
   - Public sector enterprises often focus on providing goods and services that are essential for the welfare of society, such as education, healthcare, energy, and transportation. They contribute to the economic development of the country by investing in infrastructure and creating employment opportunities.
2. **Stability and Security:**
   - These enterprises are generally stable and less susceptible to market fluctuations and economic downturns since they are backed by the government. Job security is often better in public sector enterprises.
3. **No Profit Motive:**
   - Public sector enterprises can operate without the pressure of maximizing profits, allowing them to focus on fulfilling social objectives, such as providing affordable services and products to underserved or rural areas.
4. **Encouraging National Interests:**
   - Public sector enterprises are often set up to support national interests, such as strategic industries (e.g., defense, natural resources), infrastructure development, or services that benefit the general population.
5. **Lower Costs for Consumers:**
   - Public sector enterprises, especially in sectors like utilities, often provide goods and services at lower prices due to their focus on social objectives rather than profit maximization.
6. **Regulation and Control:**
   - The government's involvement ensures that public sector enterprises are managed in a way that is accountable to the public and meets national standards for quality, safety, and fairness.

Demerits of Public Sector Enterprises:

1. **Inefficiency and Bureaucracy:**
   - Public sector enterprises are often criticized for being slow, inefficient, and bureaucratic due to the involvement of multiple layers of government control and the lack of competition.

Decision-making may be cumbersome, and processes may be less streamlined than in the private sector.

2. **Political Interference:**
   - Public sector enterprises are sometimes subject to political influence, which can lead to decisions based on political considerations rather than business efficiency or public interest. This can result in mismanagement and corruption.
3. **Lack of Innovation:**
   - Without the pressure of competition or profit motive, public sector enterprises may lack the drive for innovation and technological advancement. As a result, they may fall behind private companies in terms of product development, customer service, and operational efficiency.
4. **Overstaffing:**
   - Public sector enterprises often face issues of overstaffing, as governments may be reluctant to lay off employees due to political and social concerns. This can lead to unnecessary expenses and reduced productivity.
5. **Financial Burden on the Government:**
   - Public sector enterprises may require heavy government subsidies or financial support, especially if they are not profitable. This can become a financial burden on the national budget and taxpayers.
6. **Limited Profit Motivation:**
   - Since the focus of public sector enterprises is not on maximizing profit, they may sometimes operate inefficiently or fail to generate sufficient revenue to cover their operational costs.
7. **Slow Decision-Making Process:**
   - The involvement of government oversight and bureaucratic procedures can make decision-making slow and hinder timely responses to market changes or opportunities.

Types of Public Sector Enterprises:

1. **Departmental Undertakings:**
   - These are government-owned entities directly managed by government departments. They are not separate legal entities and are fully accountable to the government. Examples include the Indian Railways, Postal Services, and defense establishments.
2. **Public Corporations:**
   - These are statutory bodies set up by the government through an act of legislation. They operate as independent entities with a specific mandate. Examples include the State Bank of India, Air India, and Bharat Heavy Electricals Limited (BHEL).
3. **Government Companies:**
   - These are companies owned and controlled by the government, either at the central or state level. They are registered under the Companies Act but have the government as the majority shareholder. Examples include ONGC (Oil and Natural Gas Corporation), NTPC (National Thermal Power Corporation), and Indian Oil Corporation (IOC).

Public Sector Enterprises play a crucial role in achieving public welfare and fostering economic growth by providing essential services, generating employment, and promoting national interests. However, they face challenges such as inefficiency, political interference, and lack of innovation. While they are integral to the economy and can offer stability, improvements in governance, management, and accountability are needed to enhance their effectiveness.

Market

Market is defined as a place or point at which buyers and sellers negotiate their exchange of well-defined products or services.

Traditionally, market was referred to as a public place in a village or town where provisions and other objects were brought for sale. Based on the location, markets are classified as rural, urban, national, or world markets. A market is said to exist wherever there is potential for trade.

Today with increasing technology and modern facilities, the definition of market has undergone a sea change. In the modern context, market refers to a meeting point of the buyer and seller, not necessarily a geographical one. It is not necessary that the buyer has to meet the seller in person.

Classification of Markets

Markets can be classified in many ways. In economics, generally the classification is made in the basis of:
(i) Area
(ii) Time
(iii) Nature of transaction
(iv) Regulation
(v) Volume of business
(vi) Position of sellers
(vii) Type of competition.

Based on Area:
On the basis of geographical area cornered markets are classified into: (a) Local Markets (b) Regional Markets (c) National Markets (d) International Markets.
A local market for a product exists when buyers and sellers carryon business in a particular locality or village or area where demand and supply conditions are influenced by local conditions only. Generally markets for perishables like butter, milk, eggs, vegetables etc. will have local markets. Similarly bulky articles like bricks, sand, stones, etc., will have local markets as the transport of these over a long distance will be uneconomic. Semi-durable goods command a regional market. National market exists for industrial and durable goods. The precious commodities like gold, silver etc., are traded in the international market.

Based on time:
Based on time: Based on the time, the markets are classified into:
(a) Very *short period market*
Very short period market refers to that type of market in which the commodities are perishable and supply of commodities cannot be changed at all. In this type of market, the market supply is almost fixed and it cannot be increased or decreased; because skilled labor, capital and organizational are fixed. Commodities like vegetables, flowers, fish, eggs, fruits, milk etc., which are perishable & the supply of which cannot be changed in the very short period come under this category. Since the supply of these commodities is fixed the demand factor plays a decisive role in determining the price of the commodity.
(b) *Short period market*
Short period market refers to that type of market in which the commodities are durable and also reproducible. The supply of the commodity is alterable subject to one condition that the plant and machinery remains unchanged. Any increase or decrease in supple of commodity has to be done with the existing plant and machinery. The price that exists in the market is the short term normal price.
(c) *Long period market*
Long period market implies that the time available is adequate for altering the supply by altering even the fixed factors of production. The supply of commodities may be increased by installing even a new plant or machinery and the output adjustments can made accordingly.

(d) *Very long period market or Secular market*
Very long period or secular period is one when secular movements are recorded in certain factors over a period of time. The period is s too long. The factors include the size of the population, capital, supply, supply of raw materials etc. For instance, if 5 years are required to reclaim the barren land denote cultivable land, then period beyond five years is very long or secular period.

Markets on the basis of Nature of Transactions:
On the basis of nature of transactions are markets classified as: (a) Spot market (b) Future Market. Spot transaction or Spot market refers to those markets where goods are physically transacted on the spot, whereas Future Markets are related to those transactions which involve contracts of the future date.

Markets on the basis of Regulation:
On the basis of regulation, markets are classified in (a) Regulated Market (b) Unregulated Market.

In the former type of markets transactions are statutorily regulated so as to put an end to unfair practices. Such markets may be established for specific products or group of producers. Produce and stock exchanges are suitable examples of the regulated markets. Unregulated or free markets are those where there are no restrictions in the transactions.

Markets on the basis of Volume of Business:
Markets can be classified on the basis of the volume of business into two main categories: Active Markets and Inactive Markets.
Active Markets, these markets experience frequent and significant trading activity. Active markets have high liquidity, meaning it's easier to buy and sell goods or assets without causing a significant change in price. Examples: Stock markets (e.g., New York Stock Exchange), commodity markets, foreign exchange markets.
Inactive Markets, these markets witness fewer transactions or have a limited number of participants. The low level of trade means it may be harder to find buyers or sellers, and it could take longer to complete a transaction. Examples: Niche commodity markets, specialized asset markets like rare collectibles or specific regional markets.

These classifications help investors and businesses understand the dynamics of a market, including potential risks, volatility, and opportunities based on the volume of business conducted in the market.

Markets on the basis of Position of sellers:
Markets can also be classified based on the **position of sellers**, essentially referring to the location or role that sellers occupy in the market.

Market Structures or Markets On the basis type of competition:
Based on the type of competition, markets are classified into (a) perfectly competitive market and (b) Imperfect market.

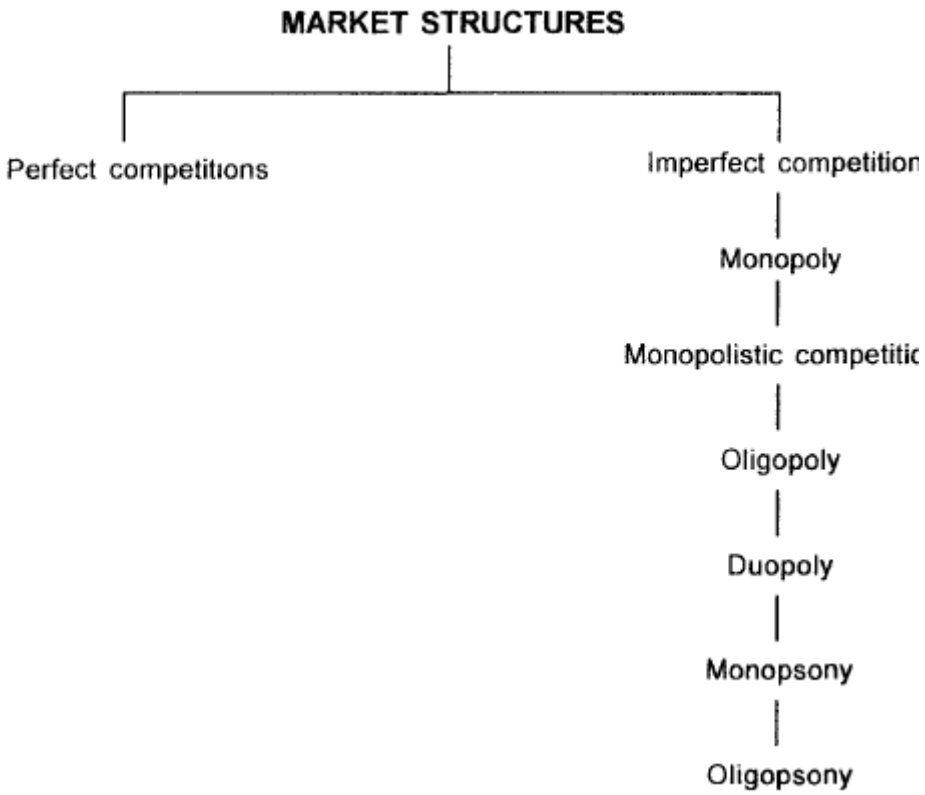
Market Structure

Market structure refers to the characteristics of a market that influence the behaviour and performance of firms that sell in that market.

The structure of market is based on its following features:

(a) The degree of seller concentration: This refers to the number of sellers and their market share for a given product or service in the market.
(b) The degree of buyer concentration: This refers to the number of buyers and their extent of purchases of a given product or services in the market.
(c) The degree of product differentiation: This refers to the extent by which the product of each trader is differentiated from that of the other. Product differentiation can take several forms such as varieties, brands, all of which are sufficiently similar to distinguish them, as a group, from other products (e.g. cars).
(d) The conditions of entry into the market: More often, there could be certain restrictions to enter into or exit from the market. The degree of ease with which one can enter the market or exit from the market also determines the market structure. In other words, there could be large number of firms if the number of restrictions to enter the market is low and vice versa.

Any one or all of the above features determines the behaviour of a firm. The behaviour of a firm may influence the performance of other firms in the industry.



Market Structures or Markets On the basis type of competition : Based on the type of competition, markets are classified into (a) perfectly competitive market and (b) Imperfect market.

Perfect Competition and Perfect Market

A market structure in which all firms in an industry are price takers and in which there is freedom of entry into and exit from the industry is called Perfect Competition. The market with perfect competition conditions is known as Perfect Market.

Features of Perfect Competition:

The following are features of perfect competition. In other words, these are the assumptions underlying perfect markets.

(a) Large number of buyers and sellers: There should be significantly large number of buyers and sellers in the market. The number should be so large that it should not make any difference in terms of price or quantity supplied even if one enters the market or one leaves the market.
(b) Homogeneous products or services: The products and services of each seller should be homogeneous. They cannot be differentiated from that of one another. It makes no difference to the buyer whether he buys from firm X or firm Z. In other words, the buyer does not have any particular preference to buy the goods from a particular trader or supplier. The price is one and the same in every firm. There are no concessions or discounts.
(c) Freedom to enter or exit the market: There should not be any restrictions on the part of the buyers and sellers to enter the market or leave the market. There should not be any barriers. The buyers can enter the market or leave the market whenever they want.
(d) Perfect information available to the buyers and sellers: Each buyer and seller has total knowledge of the prices prevailing in the market at every given point of time, quantity supplied, costs, demand, nature of product, and other relevant information. There is no need for any advertisement expenditure as the buyers and sellers are fully informed.
(e) Perfect mobility of factors of production: There should not be any restrictions on the utilisation of factors of production such as land, labour, capital and so on. In other words, the firm or buyer should have free access to the factors of production. Whenever capital or labour is required, it should instantly be made available.

(f) Each firm is a price taker: An individual firm can alter its rate of production or sales without significantly affecting the market price of the product. A firm in a perfect market cannot influence the market through its own individual actions. It has no alternative other than selling its products at the price prevailing in the market. It cannot sell as much as it wants at its own set price.

Under such a market, no single buyer or seller can play a significant role in determining the price. In other words, the price is determined by the industry as a whole, which comprises both buyers and sellers. Here the industry demand curve represents the total demand from all the consumers at various prices. Similarly, the industry supply curve represents the total quantity supplied by all sellers at various prices. However, the demand curve for an individual firm is horizontal and perfectly elastic, as in case of perfect competition. The cost functions for different firms vary depending upon the factors of production used by them. Efficient firms may have lower costs for a given level of output.

Total Revenue (TR), Average Revenue (AR), and Marginal Revenue (MR)

Total revenue is the revenue earned by producing and selling "n" number of units.
Total revenue (TR) = Price per unit (P) X No. of units produced and sold (Q).
Thus, TR = P X Q.
Average revenue is the revenue earned per unit sold.
In other words, average revenue (AR) = Total Revenue (TR)/No. of units produced and sold (Q)
Thus AR = TR/Q but TR = (P X Q)
Therefore AR = (P X Q)/Q, that is P
This means, AR = P

Marginal revenue (MR) refers to the change in revenue by producing and selling one more unit.

Consider an example. You are selling notebooks. Each book costs Rs 10. You are not going to give any discount or concession even if more number of books are purchased at a time. Suppose 10 books are sold. The total revenue (TR) is Rs 100. The average revenue (AR) is Rs 10 (100/10). Suppose you are selling one more notebook. Since you are selling at the given market price of Rs 10, the additional revenue (MR) by selling one more unit will be Rs 10.
Thus, under perfect competition, Price = Average revenue (AR) = Marginal revenue (MR)

Price-Output Determination In Case Of Perfect Competition

Under perfect competition, many factors influence the determination of the price of goods. Here, we will look at the equilibrium of the industry and the equilibrium of a firm as important factors behind price determination under perfect competition.

Equilibrium of the Industry under Perfect Competition

In economic terms, an industry consists of many independent firms. Each firm has a number of factories, farms or mines, as required. Each such firm in industry produces a homogeneous product. Equilibrium of the industry happens when the total output of the industry is equal to the total demand. In such a scenario, the prevailing price of a commodity is its equilibrium price.
We know that under competitive conditions, the interaction of demand and supply determines the equilibrium price as shown below:

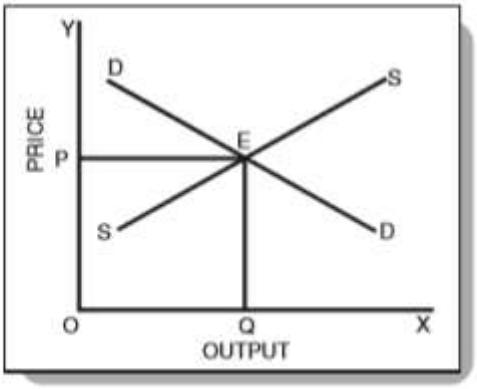


Fig. 1 : Equilibrium of a competitive industry

In Fig. 1 above, OP is the equilibrium price. Further, OQ is the equilibrium quantity sold at that price. Now, the equilibrium price is the price at which both the demand and supply are equal. In other words, no buyer, who wanted to buy at that price, goes dissatisfied and no seller, who wanted to sell his goods at that price, goes dissatisfied either.

Note that with the demand remaining the same, if the price is higher or lower than OP, then the market is not in equilibrium. Also, if goods are lesser or higher than the demand, the equilibrium is not attained.
Equilibrium of the Firm under Perfect Competition

A firm is in equilibrium when it maximizes its profits. Hence, the output that offers maximum profit to a firm is the equilibrium output. When a firm is in equilibrium, there is no reason to increase or decrease the output. In a competitive market, firms are price-takers. The reason being the presence of a large number of firms who produce homogeneous products. Therefore, firms cannot influence the price in their individual capacities. They have to follow the price determined by the industry.

The following figure shows a firm's demand curve under perfect competition:

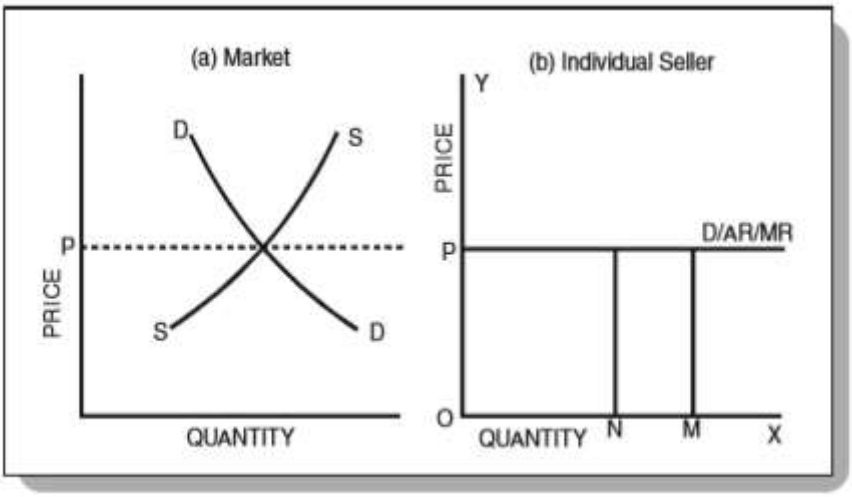


Fig. 2 : The firm's demand curve under perfect competition

From Fig. 2 above, you can see that the industry price, OP, is fixed throughout the interaction of demand and supply of the industry. Firms have to accept this price. Hence, they are price-takers and not price-makers. Hence, they cannot increase or decrease the price OP.
Therefore, the line P acts as a demand curve for such firms. Hence, in perfect competition, the demand curve of an individual firm is a horizontal line at the level of the industry-set market price. Firms have to choose the level of output that yields maximum profit.

Conditions for the equilibrium of a firm

To attain an equilibrium position, a firm must satisfy the following two conditions:
They must ensure that the marginal revenue is equal to the marginal cost (MR = MC).

- If MR > MC, the firm has an incentive to expand its production and sell additional units.
- If MR < MC, the firm must reduce the output since additional units add more cost than revenue.
- The firm gets maximum profits only when MR = MC.

The MC curve must have a positive slope and cut the MR curve from below.

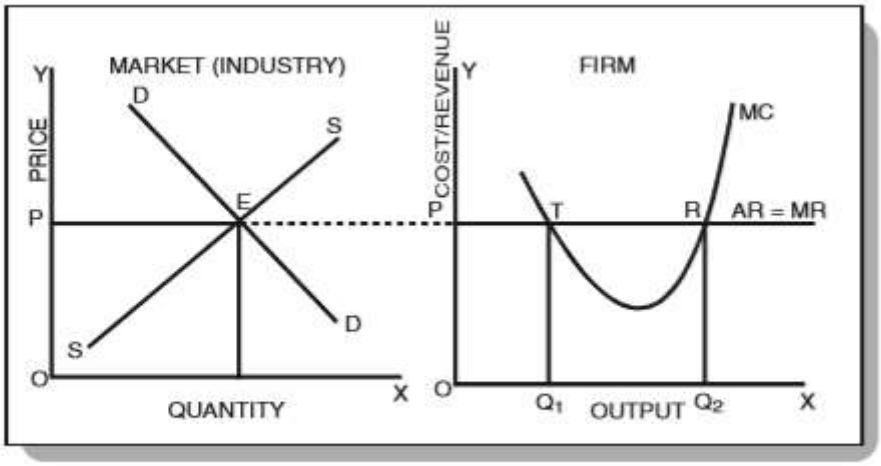


Fig. 3 : Equilibrium position for a firm under perfect competition

In Fig. 3 above, DD is the demand curve and SS is the supply curve. They equilibrate at point E and set the market price as OP. Under perfect competition, firms adopt OP as the industry price and consider the P-line as the demand curve or AR – average revenue curve (perfectly elastic at P).
Since all units are equally priced, the MR curve is a horizontal line and is equal to the AR line. Observe that the curve MC cuts the MR curve at two points – T and R. At point T, the MC curve cuts the MR curve from above whereas at point R it cuts the MR curve from below. Therefore, according to the conditions of equilibrium of a firm, point R is the point of equilibrium and OQ_2 is the equilibrium level of output.

Imperfect Competition

A competition is said to be imperfect when it is not perfect. In other words, when any or most of the above conditions do not exist in a given market, it is referred to as an imperfect market.

Based on the number of buyers and sellers, the structure of market varies as outlined below: “poly” refers to seller and “psony” means buyer.

Monopoly If there is only one seller, monopoly market is said to exist. An extreme version of imperfect market is monopoly. Here a single seller completely controls the entire industry. It is the only firm producing the given product in its industry. In case of monopoly, there is very little difference between the firm and industry. The firm is called monopolist or monopoly firm. Maruti-Suzuki enjoyed all the government protection for a long time when it enjoyed monopoly in respect of small cars. When several automobile manufacturers were allowed to enter the Indian industry with the New Industrial Policy, Maruti-Suzuki’s monopoly came to an end. Most of the State Electricity Boards enjoy monopoly in terms of the generation and transmission of power.

Monopolistic Competition When large number of sellers produce differentiated products, monopolistic competition is said to exist. A product is said to be differentiated when its important features vary. It may be differentiated based on real or perceived differences. For cameras, the important features include zoom lens, focal length, memory, size of camera, aperture and exposure controls, flash, safety, digital day and date display, the overall picture quality and so on. The products with better features are differentiated from the others and they can be sold at higher prices. Yashica, Nikon, Kodak and so forth are some of the leading players, among the many, in the market. As in case of perfect competition, here also we find many sellers but none of these have a large share of the market. Each seller has a limited monopoly role as far as his product is

concerned. The corporate health care industry in India has some branded corporate hospitals each having its own niche market.

Duopoly If there are two sellers, duopoly is said to exist. If Pepsi and Coke are the two companies in soft drinks, this market is called duopoly. Basic facilities for satellite communication are presently provided by Mahanagar Telephone Nigam Limited (MTNL) and Videsh Sanchar Nigam Limited (VSNL). This market for satellite communication can be referred to as duopoly.

Oligopoly Another variety of imperfect competition is oligopoly. If there is competition among a few sellers, oligopoly is said to exist. The examples are the car manufacturing companies (such as Maruti- Suzuki, Hindustan Motors, Daewoo, Toyota and so on), newspapers (such as The Hindu, Indian Express, Times of India, Economic Times, Eenadu and so on). In oligopoly, each individual seller or firm can affect the market price. When Times of India slashed the price of its daily newspaper, most of the other companies such as Indian Express, The Hindu followed suit. Oligopolistic market situations are very common in the sectors relating to manufacturing, transportation, communication and so on.

Monopsony If there is only one buyer, monopsony market is said to exist. Food Corporation of India is the only government organisation that purchases the agricultural produce such as rice and so on.

Duopsony If there are two buyers, duopsony is said to exist.

Oligopsony If there are a few buyers, oligopsony is said to exist. There are a few newspaper publishing companies in India and all these buy newsprint from the government of India. There are quite a good number of computer assembly operators who buy the computer components on wholesale basis.

Features of imperfect Competition

Imperfect competition refers to market structures that do not meet the conditions of **perfect competition**, where there are multiple firms offering differentiated products, some control over pricing, and barriers to entry. It contrasts with perfect competition by exhibiting various levels of market power and inefficiencies.

Here are the key features of **imperfect competition**:

1. Product Differentiation

- Firms sell **differentiated products**, meaning that the goods or services are not identical but are perceived as different in terms of quality, features, branding, or other attributes.
- This differentiation gives firms some **pricing power**, as customers may be willing to pay more for the product they prefer.
- **Example**: In the automobile industry, companies like Toyota, Ford, and BMW sell different types of cars with varying features, designs, and prices.

2. Price-Making Ability

- Unlike firms in a **perfectly competitive market**, firms in imperfect competition have **some degree of control over prices**.
- The degree of price-making ability depends on the level of differentiation and market power (e.g., monopolies have more control over pricing than firms in monopolistic competition).
- **Example**: A fast-food restaurant chain can set prices based on the unique value or quality it offers, even though other competitors exist in the same market.

3. Barriers to Entry

- There are often **barriers to entry** in imperfect competition, making it difficult for new firms to enter the market and challenge existing firms.
- Barriers may include high startup costs, economies of scale, legal restrictions, strong brand loyalty, or control over essential resources.
- **Example**: The pharmaceutical industry has high research and development costs, creating significant barriers to entry for new companies.

4. Non-Price Competition

- Firms often engage in **non-price competition**, where they compete through means other than price, such as advertising, branding, product differentiation, or customer service.
- This allows firms to gain a competitive advantage without lowering prices, which can erode profits.
- **Example**: Companies like Apple and Coca-Cola focus heavily on branding and marketing to differentiate their products, making them more appealing to consumers.

5. Imperfect Information

- Consumers and producers may not have perfect information about prices, quality, and availability of goods and services.
- Imperfect information leads to market inefficiencies, as consumers may not always make the most informed purchasing decisions.
- **Example**: In the smartphone market, buyers might not know the full range of features and prices offered by all available brands, leading them to base decisions on limited or biased information.

6. Some Degree of Market Power

- Firms in imperfect competition possess **some market power**, meaning they can influence prices to a certain extent without losing all customers.
- This power stems from differentiation, advertising, brand loyalty, and product innovation.
- **Example**: A company like Nike can set higher prices for its sneakers due to its strong brand identity and consumer loyalty, even though other brands also exist in the market.

7. Interdependence Between Firms

- In markets like **oligopolies** (a type of imperfect competition), firms are **interdependent**, meaning the actions of one firm can influence the behavior of other firms.
- Firms must consider competitors' potential responses when making decisions, such as pricing, product launches, or marketing campaigns.
- **Example**: In the airline industry, if one airline reduces its ticket prices, others may follow suit to remain competitive.

8. Normal or Supernormal Profits

- In imperfect competition, firms can earn **normal profits** in the long run in markets like monopolistic competition, or **supernormal profits** in cases like monopolies or oligopolies.
- This differs from perfect competition, where long-term equilibrium typically results in only normal profits due to free entry and exit.
- **Example**: A monopoly may be able to maintain supernormal profits due to its control over supply and absence of competition.

9. Price Discrimination (in Some Cases)

- Firms in imperfect competition may engage in **price discrimination**, charging different prices to different consumers based on their willingness to pay, the time of purchase, or location.

- Price discrimination allows firms to maximize their profits by capturing consumer surplus.
- **Example**: Airlines often charge different prices for the same seat based on when the ticket is purchased, the class of service, and whether it's refundable.

Examples of Imperfect Competition:

1. **Monopolistic Competition** (e.g., the restaurant industry, clothing brands)
2. **Oligopoly** (e.g., automobile industry, telecom companies)
3. **Monopoly** (e.g., utility companies in certain regions, local public transport services)

Imperfect competition creates a dynamic where firms can innovate, differentiate products, and engage in strategic pricing, leading to a wide range of market structures. These features enable firms to earn profits, but they also lead to inefficiencies compared to perfect competition.

Monopoly

A **monopoly** is a market structure where a single company or entity is the sole provider of a particular good or service. In a monopoly, this one seller dominates the market, with little or no competition from other firms. Because there are no close substitutes for the product or service offered, consumers have no alternative choices, which gives the monopolist the power to control prices and supply.

Features:

1. **Single Seller**: A monopoly exists when there is only one seller or producer in the market, meaning no competition.
2. **No Close Substitutes**: The product or service offered by the monopolist has no close substitutes, making consumers reliant on it.
3. **Barriers to Entry**: High barriers to entry prevent other firms from entering the market. These barriers can include high startup costs, government regulations, or control of essential resources.
4. **Price Maker**: The monopolist has significant control over the price of the product or service, unlike in competitive markets where prices are determined by supply and demand.
5. **Profit Maximization**: The monopolist aims to maximize profit by producing the quantity of goods where marginal cost equals marginal revenue.
6. **Market Power**: A monopoly has significant market power, which allows it to influence or control the market and dictate terms.
7. **Inefficiency**: Monopolies often lead to allocative and productive inefficiency. The firm may produce less output at a higher price than would occur in a competitive market.
8. **Price Discrimination**: A monopolist may engage in price discrimination, charging different prices to different consumers based on their willingness to pay, maximizing profits further.

These characteristics highlight how monopolies differ from competitive markets and the impact they can have on consumers and the economy.

Price-Output Determination:

In a monopoly, a single firm controls the entire supply of a product or service, and this firm is the price maker, not the price taker (as in perfect competition). The price output determination in a monopoly is based on the firm's goal to maximize profits, which can be understood through the following steps:

1. Demand Curve:

The monopolist faces the market demand curve, which typically slopes downward. This means the firm can only sell more by lowering the price. The monopolist will determine the price and quantity combination that maximizes its profit.

2. Marginal Revenue (MR):

The monopolist will calculate the marginal revenue, which is the additional revenue gained from selling one more unit of the good. For a monopolist, the marginal revenue curve lies below the demand curve because the firm must lower the price on all units sold to sell an additional unit. Hence, the monopolist's marginal revenue decreases faster than the price.

3. Marginal Cost (MC):

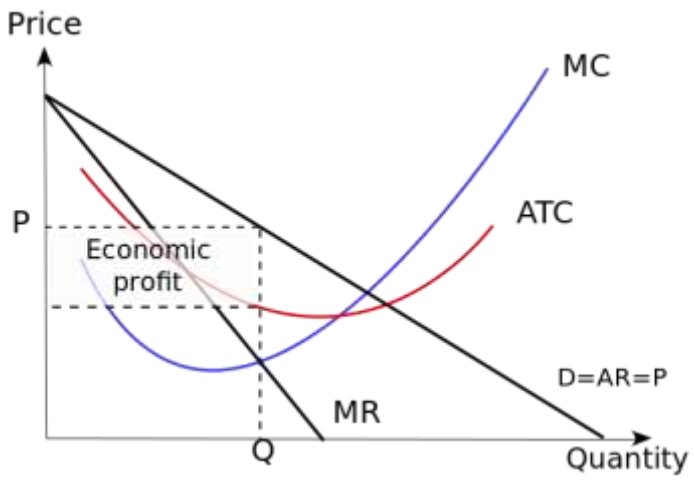
The monopolist also faces a cost structure. The firm has a marginal cost curve (MC), which shows the additional cost of producing one more unit. In the short run, this curve typically increases as production rises, due to the law of diminishing returns.

4. Profit Maximization:

The monopolist maximizes profit by producing the quantity where marginal cost (MC) equals marginal revenue (MR). At this output level (Q*), the monopolist then sets the price by going up to the demand curve. The price is determined at the point where the quantity produced intersects the demand curve.

Steps for Determining Price and Output in Monopoly:

1. **Find the quantity (Q*) where MC = MR**: This is the quantity the monopolist will produce.
2. **Set the price (P*) based on the demand curve**: After determining the optimal output level, the monopolist will find the corresponding price by looking at the demand curve at that quantity.



Monopolistic

"Monopolistic" typically refers to **monopolistic competition**, which is a market structure that shares some characteristics with both perfect competition and monopoly. In monopolistic competition, there are many firms in the market, but each one sells a product that is slightly different from the others—this differentiation allows each firm some degree of market power, similar to a monopoly, even though competition still exists.

Features:

Key features of **monopolistic competition** include:

1. **Many Sellers**: There are many firms in the market, so it's not a monopoly, but it's not as competitive as perfect competition either.

2. **Product Differentiation**: Each firm offers a product that is different in some way from others, whether it's quality, branding, features, or customer service. This differentiation gives firms some control over their prices.
3. **Some Market Power**: Because of product differentiation, firms can influence their prices to a certain extent, unlike in perfect competition where prices are set by the market.
4. **Low Barriers to Entry**: It's relatively easy for new firms to enter the market, unlike in a monopoly where entry is often blocked.
5. **Non-price Competition**: Firms often compete through advertising, product features, customer service, etc., rather than just price.

While firms in monopolistic competition have some degree of monopoly-like control due to product differentiation, the competition keeps them from having complete market power, and profits are typically lower in the long run because new firms can enter the market and erode profits.

In summary, when something is described as "monopolistic," it typically refers to situations where firms have some characteristics of a monopoly (like the ability to influence prices) but still face competition from other firms.

Price-output Determination:

In **monopolistic competition**, a market structure that lies between perfect competition and monopoly, firms sell products that are differentiated from each other (e.g., through branding, quality, or features) but still face competition from other firms offering similar products. While each firm has some degree of market power (since their products are not identical), they are still constrained by the choices available to consumers from other firms.

Price and Output Determination in Monopolistic Competition

In monopolistic competition, firms aim to maximize their profits, and the price-output determination can be understood through the following steps:

1. Demand Curve:

- Firms in monopolistic competition face a downward-sloping demand curve, which reflects the fact that they can charge a higher price for their unique product but lose customers if they set the price too high compared to their competitors.

2. Marginal Revenue (MR):

- The marginal revenue curve for firms in monopolistic competition also slopes downward, similar to monopolies. However, because there are many substitutes, the firm’s MR curve lies below the demand curve, and it’s steeper.

3. Marginal Cost (MC):

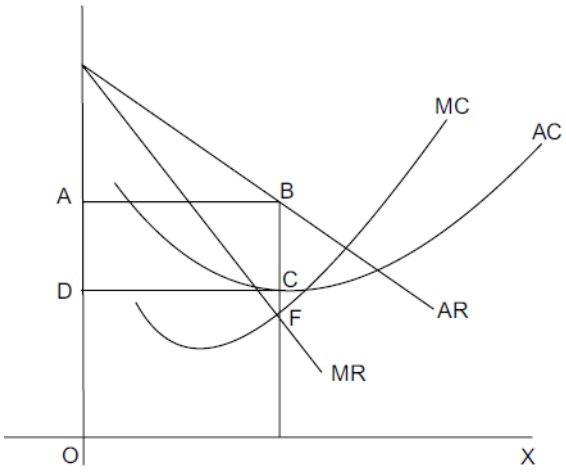
- Firms also have a marginal cost curve (MC), which represents the cost of producing one additional unit. In the short run, this curve is upward sloping due to the law of diminishing returns.

4. Profit Maximization:

- Like monopolists, firms in monopolistic competition maximize their profits where **MC = MR**. However, in the long run, these firms tend to earn **normal profit** (zero economic profit) due to the entry of new firms into the market attracted by positive profits.

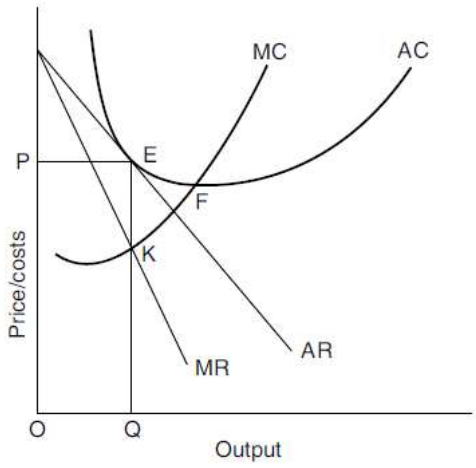
Short-Run:

- In the **short run**, the firm may earn positive economic profits or incur losses, depending on the price it can charge relative to its costs. The firm sets the quantity where **MC = MR** and charges the price corresponding to that quantity on the demand curve.



Long-Run:

- In the **long run**, the presence of free entry and exit in the market leads to the adjustment of prices and output. If firms are earning positive profits in the short run, new firms will enter, increasing competition and driving down prices. This process continues until firms earn **normal profit** (where Price = Average Total Cost (ATC)).



Oligopoly

An **oligopoly** is a market structure characterized by a small number of large firms that dominate the industry. These firms have significant market power, but unlike a monopoly, they still face some competition from each other. Oligopolies are common in industries where the barriers to entry are high, such as in telecommunications, oil, and automobile manufacturing.

Features:

Key characteristics of an **oligopoly** include:

1. **Few Large Firms**: The market is dominated by a small number of firms, meaning each company holds a significant portion of the market share.
2. **Interdependence**: Firms in an oligopoly are highly interdependent. The actions of one firm, such as a price change or a new product release, can influence the decisions of the other firms in the market.
3. **Barriers to Entry**: High barriers to entry (such as capital costs, economies of scale, or strong brand loyalty) make it difficult for new competitors to enter the market and challenge the dominant firms.
4. **Product Differentiation (or Homogeneity)**: Products may be either differentiated (slightly different) or homogeneous (identical). For example, in the automobile industry, firms sell differentiated products, but in industries like oil, the products may be fairly similar.
5. **Price Rigidity**: In an oligopoly, firms often avoid changing prices because they know that other firms will likely follow suit. This can lead to price stability in the market, even if costs or demand fluctuate.
6. **Non-Price Competition**: Since firms are reluctant to compete on price alone (due to the risk of price wars), they often engage in non-price competition, such as advertising, product quality, and innovation, to attract customers.
7. **Potential for Collusion**: In some cases, firms in an oligopoly may collude (either explicitly or tacitly) to set prices or output levels, which can reduce competition and lead to higher prices for consumers. This is illegal in many countries, but it can still occur covertly.

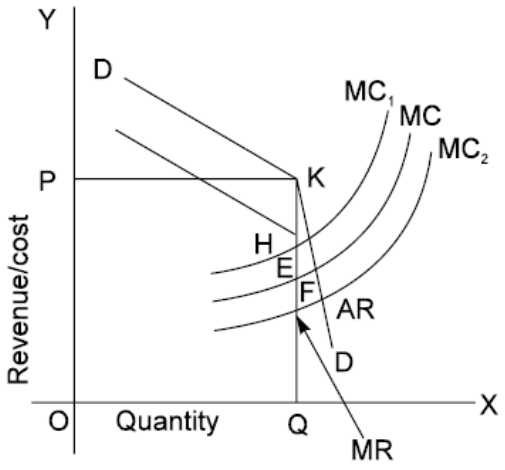
Examples of oligopolistic industries include the airline industry, smartphone manufacturers (e.g., Apple, Samsung), and the soft drink industry (e.g., Coca-Cola, Pepsi). While firms in an oligopoly enjoy market power, the level of competition remains higher than in a monopoly.

Price-output Determination:

In **oligopoly**, a market structure characterized by a small number of large firms that dominate the market, the price-output determination is more complex compared to monopolistic competition and monopoly. In an oligopoly, firms are interdependent, meaning the actions of one firm (e.g., changing prices, production quantities, or advertising) influence the decisions of other firms in the market.
The Kinked Demand Curve Model (Price Rigidity):

This model assumes that firms in an oligopoly face a **kinked demand curve**. Here's how it works:

- **Kinked Demand Curve**: The demand curve is assumed to be more elastic for price increases and less elastic for price decreases. The kink arises because firms believe that if they increase prices, other firms will not follow, leading to a large loss in market share. On the other hand, if they decrease prices, competitors will follow to maintain their market share, leading to only a small increase in sales.
- **Price Rigidity**: The kinked demand curve creates a situation where firms are reluctant to change their prices because any increase in price would result in a significant loss of customers, while any decrease in price would lead to only small gains but also reduce profits.
- **Price and Output Determination**: The firm sets its output at the point where **marginal cost (MC) equals marginal revenue (MR)**, but the kink in the demand curve creates a situation where the firm is unwilling to change its price unless there is a major change in costs or demand.



Pricing methods followed in organizations

In organizations, several **pricing methods** are followed to determine how much to charge customers for their products or services. These methods depend on factors like the cost of production, market demand, competitive pricing, and strategic goals. Here are the **main pricing methods** commonly used:

1. Cost-Based Pricing (Cost-Plus Pricing)

- **Description**: This method involves setting the price by adding a **markup** to the cost of producing the product or service. The markup ensures that the business covers its costs and makes a profit.
- **Formula**: Price=Cost+Markup
- **Advantages**: Simple to calculate and ensures costs are covered.
- **Disadvantages**: Doesn't consider market demand or competition.
- **Example**: A furniture company may add a 30% markup on the cost of materials and labor to determine the final price.

2. Value-Based Pricing

- **Description**: The price is set based on the perceived value of the product or service to the customer rather than the cost of production. This approach focuses on **customer willingness to pay**.
- **Advantages**: Can result in higher prices if the product offers high value to customers.
- **Disadvantages**: Requires a deep understanding of customer needs and perceptions.
- **Example**: A luxury watch brand sets its prices based on how much customers are willing to pay for prestige and quality, not just the materials used.

3. Competition-Based Pricing

- **Description**: The price is determined by analyzing competitors' prices for similar products or services. The company may choose to set the price **lower**, **higher**, or **the same** as competitors.
- **Advantages**: Helps maintain competitive edge, especially in saturated markets.
- **Disadvantages**: Risk of price wars and reduced profit margins.
- **Example**: Supermarkets may match the prices of competitors to stay competitive in the market.

4. Penetration Pricing

- **Description**: The price is set **low** initially to attract customers and gain market share quickly. Once a customer base is established, the price may gradually increase.
- **Advantages**: Encourages early adoption and can quickly increase market share.
- **Disadvantages**: Initially lower profit margins, and customers may be reluctant to accept price increases later.

- **Example**: Streaming platforms like Netflix offer low introductory prices to attract users before raising the subscription fees.

5. Skimming Pricing

- **Description**: The price is set **high** initially when a new product is introduced, often targeting early adopters who are willing to pay more. Over time, the price is gradually reduced to attract a larger audience.
- **Advantages**: Maximizes profit from early adopters before lowering the price for more price-sensitive customers.
- **Disadvantages**: High initial price can limit the number of customers initially, and the strategy can attract competitors.
- **Example**: Tech companies, like Apple, often use skimming pricing when launching new products (e.g., the latest iPhone).

6. Psychological Pricing

- **Description**: Prices are set in a way that makes them seem more attractive to customers, such as using **"charm prices"** (e.g., $9.99 instead of $10.00) or **prestige pricing** (setting high prices to imply higher quality).
- **Advantages**: Can increase sales by influencing consumer behavior.
- **Disadvantages**: May not work if customers are very price-sensitive or aware of the pricing strategy.
- **Example**: Retail stores frequently use $19.99 instead of $20.00 to make the price appear lower.

7. Dynamic Pricing

- **Description**: Prices fluctuate based on real-time market conditions, such as demand, competition, or inventory levels. It is commonly used in industries like travel, entertainment, and e-commerce.
- **Advantages**: Allows businesses to optimize prices based on supply and demand.
- **Disadvantages**: Can be seen as unfair if prices change too frequently or unexpectedly.
- **Example**: Airlines use dynamic pricing, adjusting flight ticket prices depending on demand, time of booking, and seat availability.

8. Bundle Pricing

- **Description**: Multiple products or services are sold together at a lower price than if they were purchased individually. This method is designed to encourage customers to buy more.
- **Advantages**: Increases the overall value for the customer and can increase sales volume.
- **Disadvantages**: Can lead to reduced profit margins if not done strategically.
- **Example**: A fast-food restaurant offers a meal bundle with a burger, fries, and drink for a lower price than buying them separately.

9. Premium Pricing

- **Description**: The price is set high to reflect the high quality, exclusivity, or prestige of the product. This is often used for luxury items or high-end brands.
- **Advantages**: Builds brand image and can lead to high profit margins.
- **Disadvantages**: Limits the customer base to a niche market.
- **Example**: Brands like Rolls-Royce and Louis Vuitton use premium pricing to maintain their luxurious reputation.

10. Geographical Pricing

- **Description**: Different prices are charged depending on the customer's location, to account for differences in shipping costs, taxes, or local economic conditions.
- **Advantages**: Can optimize profitability by adjusting prices based on local conditions.
- **Disadvantages**: Can create customer dissatisfaction if not clearly explained.
- **Example**: Online retailers may offer different prices or shipping fees for customers in different countries.

11. Freemium Pricing

- **Description**: A basic version of a product or service is offered for free, while more advanced features or premium versions are available for a price.
- **Advantages**: Attracts a large user base quickly, and conversion rates for premium versions can be high.
- **Disadvantages**: Relies on converting free users to paying customers, which can be challenging.
- **Example**: Many software companies, like Dropbox, offer free basic plans with the option to upgrade to premium plans for additional features.

Choosing the right pricing method depends on factors such as the company’s objectives, market conditions, competition, and customer behavior. Organizations often combine multiple methods to maximize profits and remain competitive in the market.

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